

The Effects of Cohesion and Structural Position on the Top Management Team Boundary Spanning–Firm Performance Relationship

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Abstract

Top management teams (TMTs) interact with key external stakeholders through boundary spanning, often by holding outside directorships. Yet research suggests these activities have an equivocal relationship with firm financial performance. Although outside directorships promise informational benefits (i.e., the social network perspective), they also present challenges in the form of managerial opportunism (i.e., the agency perspective). Here, we adopt a contingency perspective to reconcile these perspectives, investigating the moderating role of cohesion, or the degree to which team members mutually support and get along with one another. We argue that boundary spanning will yield performance benefits for TMTs with high cohesion, because their increased commitment to the team will enable members to use their external relationships for the benefit of their firms. However, we also identify a boundary condition for this effect based on structural position

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in the TMT: that cohesion is especially relevant when proportionally more non-chief executive officer (CEO) TMT members span boundaries than CEOs span boundaries. Results from an archival study of TMTs using q-sort methodology provide support for these predictions.

Keywords

top management teams, non-CEO TMT members, CEOs, team boundary spanning, outside directorships, cohesion, firm performance

When Dan Akerson became the chief executive officer (CEO) of General Motors in 2010, he discovered that none of the members of its top management team (TMT) were allowed to span the boundaries of the firm to serve on outside boards. His response was, “You’ve got to be kidding me! How do people ever see how other people, other industries, deal with complex problems and how do they solve them?” (Burden, 2013). In response, he encouraged his top executives to join other boards to allow exposure to alternative policies and practices and to learn about the “inner workings” of companies (Colias, 2011). Team boundary spanning, defined as performing task-related activities with external actors outside the team (Ancona & Caldwell, 1992; Choi, 2002), is a core activity of top managers (Ancona, 1990), who often interact with outsiders by serving on the boards of directors of other organizations via these “outside directorships” (Geletkanycz & Hambrick, 1997; Haunschild, 1993).

Yet research on the effects of TMT boundary spanning in the form of outside directorships on firm performance is equivocal, with extant studies revealing positive, negative, or even null effects (e.g., Collins & Clark, 2003; Geletkanycz & Hambrick, 1997; Yoo, Reed, Shin, & Lemak, 2009). Given that executives spend significant amounts of time spanning the boundaries of their organization in this way (Chiu, 2016; Hambrick, Werder, & Zajac, 2008; Mintzberg, 1973), the question of *when* TMT members’ outside directorship ties benefit firm performance is critical to understanding the value of these relationships. And although a few studies have considered contingency factors *external* to the TMT that help explain when information gleaned through boundary spanning is more or less relevant to firm strategy, such as industry growth and the timing of market entry (Geletkanycz & Boyd, 2011; Yoo et al., 2009), questions still remain about how TMT members can manage the myriad of distractions and competing interests they face in cultivating these outside relationships (McFadyen & Cannella, 2004; Zajac & Westphal, 1996), such that their focal firms ultimately benefit from them.

Because intragroup factors are central in considering individuals' relationships with one another and their firms (Buchanan, 1974; Riketta & Van Dick, 2005), we argue an examination of *internal* team factors is critical to this debate. As such, we consider the moderating role of team cohesion, or the degree to which team members mutually support and get along with one another (Peterson, Owens, Tetlock, Fan, & Martorana, 1998; Seashore, 1954), on this relationship. We also consider these effects as dependent upon the structural position that each TMT member holds (i.e., the CEO vs. non-CEO TMT positions). Prior research has revealed that disaggregating these positions is important when examining strategic decisions (Jensen & Zajac, 2004), and because outside directorships offer unique opportunities for non-CEO TMT members in particular (e.g., Boivie, Graffin, Oliver, & Withers, 2016; Boivie, Graffin, & Pollock, 2012), the effects of TMT cohesion on the boundary spanning–firm performance relationship may be contingent on the structural positions of those who hold these outside directorships.

In short, we introduce not only a critical intragroup factor to explain when TMT outside directorships benefit firm performance but also a boundary condition for this effect that is based on the structural position of the individual holding the outside directorship. We explore our predictions through an archival study of TMTs across a variety of industries using a unique q-sort methodology to assess the top team's level of cohesion. Our study helps to reconcile competing perspectives on the value of outside directorships and has practical implications for top managers of large corporations who must balance internal demands, such as the challenge of achieving behavioral integration (Hambrick, 2007), with external demands, or the challenge of engaging with the environment in search of better strategic decision-making and firm performance (Ancona, 1990).

TMT Boundary Spanning and Firm Performance: The Social Network View Versus the Agency View

To ensure firm survival, profitability, and growth, an essential task of TMTs is to engage in extensive interaction with the environment through information search and gathering. Ancona (1990) suggested that TMTs must engage in scouting, which involves general scanning for information related to strategy, competition, markets, and technology (Daft, Sormunen, & Parks, 1988; Li, Maggitti, Smith, Tesluk, & Katila, 2013), to detect and respond to changes in external demands. In this way, the external environment is both a resource pool and an impetus for change (Kouchaki, Okhuysen, Waller, & Tajeddin, 2012).

Scholars have argued that the most critical scouting can come from boundary spanning through executive outside directorships (Geletkanycz & Boyd, 2011; Geletkanycz, Boyd, & Finkelstein, 2001; Haunschild, 1993; Mizruchi, 1996). Outside directorships are external social network ties that connect top executives to boards outside their organization through service on these boards (Geletkanycz & Hambrick, 1997; Haunschild, 1993). Directorships are positions open to and held by multiple types of executives, including CEOs and non-CEO TMT members (e.g., Boivie et al., 2016; Boivie et al., 2012; Boyd, Haynes, & Zona, 2011; Geletkanycz & Boyd, 2011).

However, there is an ongoing debate about the value of outside directorships for focal firms. Indeed, extant studies reveal positive, negative, or even null effects on firm performance (e.g., Collins & Clark, 2003; Geletkanycz & Hambrick, 1997; Yoo et al., 2009). In the following sections, we explore two competing perspectives, social network versus agency theory, and offer a reconciliation of the two when considering the internal dynamics of the TMT.

The Social Network Perspective on Outside Directorships

The social network perspective on top executive boundary spanning is focused on how firm outcomes are shaped by relationships with external stakeholders such as suppliers, alliance partners, and especially boards of directors (Boyd et al., 2011). Gulati and Westphal (1999) suggested that boards of directors are a “unique formal mechanism linking top managers of large corporations” and that they provide opportunities for “leaders to exchange information, observe the leadership practices and style of their peers, and witness firsthand the consequences of those practices” (p. 473). Given the potential for learning (Beckman & Haunschild, 2002) and managers’ tendencies to value unique knowledge from external sources more than internal knowledge (Menon & Pfeffer, 2003), these board directorships are argued to be critical in shaping strategy and ultimately firm financial performance (Collins & Clark, 2003; Geletkanycz & Boyd, 2011; Gulati and Westphal, 1999).

Studies in this tradition examine the impact of top executives’ social network ties on strategic decisions and firm performance. For example, Collins and Clark (2003) investigated top executives’ ties with external stakeholders (i.e., a composite of all external relationships including those with customers, suppliers, governmental agencies, outsiders serving on the board of directors of the focal firm, etc.) and found that the range of social network ties (i.e., diversity of contacts) and strength of ties (i.e., interaction frequency) positively influenced sales growth and stock returns but the size of the external network (i.e., number of contacts) did not. Similarly, Beckman and Haunschild

(2002) investigated board interlocks (in which focal firms both “sent” executives to boards of outside firms and “received” outsiders on the board of the focal firm), finding that ties that provided heterogeneous prior experience enabled firms to pay less and enjoy better-performing acquisitions than ties that provided homogeneous prior experience.

However, results focusing specifically on TMT boundary spanning in the form of outside directorship ties of top managers (also known as “sent interlocks”) have been equivocal. For example, Beckman and Haunschild (2002) found no effects of social network ties on acquisition payments or performance when examining the “sent” interlock ties separately from interlock ties as a whole, suggesting that the firm needed the full range of embedded relationships to benefit from these external perspectives. In addition, Yoo and colleagues (2009) discovered that TMT members’ outside directorships benefited firm performance in the case when firms were pursuing resource substitution strategies (i.e., strategies different from first movers in the industry) but not when firms were pursuing resource imitation strategies. Moreover, disaggregating outside directorships from other director ties (e.g., “received” interlocks) is important because they are qualitatively different social network relationships (Richardson, 1987) and outside directorships are worthy of examination in relation to firm financial performance in their own right (Geletkanycz & Boyd, 2011).

The Agency Perspective on Outside Directorships

Why might TMT boundary spanning in the form of outside directorships not benefit the focal firm, given the rich potential for gathering important and useful external information and resources through these social network ties? One explanation comes from the agency perspective of outside directorships, which focuses on the role of governance in addressing managerial opportunism (Boyd et al., 2011; Geletkanycz & Boyd, 2011). The central assumption of agency theory is that agents of the firm (e.g., top managers) are inclined to act in ways that promote self-interest unless there are sufficient control mechanisms to monitor their behaviors (Fama & Jensen, 1983). As such, most studies in this vein explain how outsiders serving on the board of the focal firm influence the management practices of the firm (e.g., setting compensation and changing CEO behaviors; (see Boyd, 1994; Buchholtz, Young, & Powell, 1998; Conyon & Peck, 1998; Westphal, 1998). However, the tenets of agency theory also apply to the situation in which top managers span the boundaries of their firms by serving on outside boards.

Specifically, although outside directorships are touted as being beneficial to focal firms because of the learning and knowledge that top managers can

gain, they also represent a context in which managers may have conflicting interests with those of the focal firm. At the most benign level, outside directorships take a lot of time and attention (Hambrick et al., 2008), which then may distract managers from performing their focal firm roles (Conyon & Read, 2006). However, managers also accrue experience, social contacts, and reputational benefits that may be used to further their own careers, potentially at the expense of furthering the interests of the focal firm. For example, outside directorships allow for the cultivation of other employment opportunities or the implementation of poison pill or golden parachute programs that benefit top executives' interests over the firm's interests (Conyon & Read, 2006; Davis, 1991; Geletkanycz & Boyd, 2011; Wade, O'Reilly, & Chandratat, 1990; Zajac & Westphal, 1996).

An Intragroup Contingency Factor to Reconcile These Perspectives: Cohesion

These opposing perspectives on the utility of TMT boundary spanning for firm performance may explain not only why prior studies have not found strong empirical relationships between outside directorships and firm outcomes (e.g., Beckman & Haunschild, 2002; Geletkanycz & Hambrick, 1997), but also the rise in studies of contingency factors that aim to explain when outside directorships are likely to benefit the firm. These studies have largely focused on factors external to the firm (Geletkanycz & Boyd, 2011; Yoo et al., 2009); however, understanding internal interactions as they relate to TMT outside directorships is also important because a central challenge of outside directorships is balancing internal and external relationships that are sometimes at odds (i.e., curtailing the potential for opportunism with external relationships that undermine internal relationships and goals). As intragroup factors are integral in considering individuals' relationships with one another and their firms (Buchanan, 1974; Riketta & Van Dick, 2005), the strength of relationships within the TMT is critical and unexplored relative to this debate. As such, we consider an intragroup factor, TMT cohesion, and its role in determining when TMT boundary spanning in the form of outside directorships benefits firm performance.

Cohesion among TMT members has been defined as the extent to which top executives get along and work together in a mutually supportive way (Peterson et al., 1998). Classic definitions of group cohesion emphasize group members' "attraction to the group" (Seashore, 1954, p. 11) and its members (Back, 1951; Downing, 1958; Lott & Lott, 1965), and more recent definitions include this original conceptualization of attraction as well as an additional dimension of commitment to group tasks (Beal, Cohen, Burke, &

McLendon, 2003; Carless & De Paola, 2000). In the upper echelons literature, cohesion is considered a key factor affecting strategic decision-making (Finkelstein, Hambrick, & Cannella, 2009) and several studies have revealed positive effects of TMT cohesion on firm financial performance (e.g., Ensley, Pearson, & Amason, 2002; Smith et al., 1994, but also see Glick, Miller, & Huber, 1993; Janis, 1982). Historically successful TMTs, identified as those that satisfied their constituents, have been perceived as being high on cohesion (Peterson et al., 1998).

There are two aspects of cohesion that are relevant to the relationship between TMT boundary spanning and firm performance. First, the enhanced commitment and motivation inherent in highly cohesive groups directs individual group members to behave in line with group-related goals and reduces agency costs. Several empirical studies have revealed that cohesion's positive effects of performance are related to its dimension of group goal commitment (e.g., Berkowitz, 1954; Klein & Mulvey, 1995). Given the potential for managerial opportunism via outside directorships (e.g., Conyon & Read, 2006; Geletkanycz & Boyd, 2011), cohesion's attractive "forces" (Festinger, 1950) should keep team members focused on their focal firm's goals and how they might utilize their outside directorship ties to achieve those goals. Indeed, El Akremi, Mignonac, and Perrigot's (2011) study of franchisee behavior found that cohesion reduced opportunism (i.e., deviations from franchise standards) among groups of franchisees who might otherwise have advanced their own interests over those of others in the franchise chain. Moreover, Lawler and Yoon (1996) found that cohesion increased the tendency to stay in an exchange relationship despite having attractive alternatives. We expect these effects to extend to top managers who are presented with the potential for individual opportunism when they hold outside directorships, but who will instead be highly committed to their focal firms when they experience high TMT cohesion, and will therefore behave in ways that advance their focal group's goals (e.g., to achieve high firm performance).

Second, cohesion facilitates information sharing, allowing for the benefits of social networks. Cohesion helps group members share unique perspectives when engaged in decision-making tasks (Gruenfeld, Mannix, Williams, & Neale, 1996; Jehn & Shah, 1997) and reduces information withholding (El Akremi et al., 2011). Cohesion also helps individuals reconcile multiple perspectives through productive conflict (Amason, 1996; Ensley et al., 2002). In the upper echelons literature, cohesion among top managers is thought to enhance flexibility and efficiency when solving problems (Smith et al., 1994) and is thus argued to be a strategic asset that can produce sustainable and superior outcomes (Michalisin, Karau, & Tangpong, 2004). Extending these arguments to TMTs whose members hold outside directorships, we expect

that those TMTs with high cohesion will more effectively share and integrate the external information gleaned from outside directorships than will TMTs with low cohesion, resulting in superior strategic decisions that increase firm financial performance.

In summary, we expect that TMTs with high cohesion will be more motivated and capable of utilizing their outside directorships for the benefit of the firm than will TMTs with low cohesion, and that this will translate to higher firm financial performance. Formally,

Hypothesis 1: The relationship between TMT boundary spanning and firm performance will be moderated by TMT cohesion such that boundary spanning will improve performance when cohesion is high but not low.

A Boundary Condition: TMT Structural Position

Although we expect TMT cohesion to moderate the TMT boundary spanning–firm performance relationship generally, in part because it mitigates the challenges of outside directorships put forth by the agency perspective, evidence suggests that these challenges of opportunism are likely to be particularly applicable to non-CEO TMT members. For example, Boivie and colleagues (2016) have shown that outside directorships provide a signal that a non-CEO TMT member is a viable CEO successor and worthy of promotion either internally or externally. They argue that outside directorships are thus attractive to non-CEO TMT members because of these increased benefits in the executive labor market, despite the extra demands on their time and attention.

In contrast, although CEOs may also view outside directorships with self-interest (e.g., cultivating outside employment opportunities), they have more accountability for firm outcomes than other TMT members (Finkelstein & Hambrick, 1996; Graffin, Wade, Porac, & McNamee, 2008; Hambrick & Mason, 1984) and thus are arguably more focused on the focal firm's overall performance and its image (Lange, Boivie, & Westphal, 2015). Lange and colleagues (2015) also point out that CEOs are subject to more financial and structural controls designed to align their interests with those of the firm than any other member of the organization, stating “even in a context where organizational member vested financial interest is not uncommon, the CEO position is an outlier in terms of the potentially higher level of vested interest and meaning associated with it” (p. 1229).

Therefore, we suggest that cohesion is likely to be especially important when non-CEO TMT members are engaged in boundary spanning. Because non-CEO TMT members gain increased benefits in the executive labor

market from outside directorships, including the credibility to be viable CEO successors (Boivie et al., 2016), these boundary spanning relationships may set up a situation in which top managers' interests are not necessarily aligned with those of the CEO (Jensen & Zajac, 2004), nor with one another as they engage in political struggles for power (Ocasio, 1994). As such, cohesion within the TMT may be especially integral in focusing non-CEO TMT members on utilizing these outside board relationships to support one another and their focal firm as opposed to furthering their own careers within or outside the focal firm.

In contrast, TMT cohesion should not be as relevant to the effect of boundary spanning on firm financial performance when outside directorships are held by the CEO. Although TMT cohesion also enhances the CEO's commitment to the group and the firm by virtue of being a member of this cohesive group, a CEO's interests are also relatively more aligned with the firm to begin with, given their increased accountability for firm outcomes and identification with the organization and its image (Finkelstein & Hambrick, 1996; Hambrick & Mason, 1984; Lange et al., 2015). Moreover, TMT cohesion may not be necessary to encourage CEOs to share information gleaned from outside ties. Instead, given their power in the organization and TMT, they may be just as likely to share the information whether TMT cohesion exists or not. Thus, TMT cohesion may offer only marginal benefits when considering the CEO's outside directorships, given the numerous structural and financial controls that are already in place to align CEOs' interests with those of the firm (Lange et al., 2015).

Based on these arguments, we expect that the moderating effects of TMT cohesion will depend on the structural position of the individuals who hold the outside directorships, such that this effect will be especially pronounced when more non-CEO TMT members hold outside directorships. Formally,

Hypothesis 2: The effect of TMT boundary spanning and TMT cohesion on firm performance will be stronger when proportionally more non-CEO TMT members span boundaries than when CEOs span boundaries.

Method

Data and Sample

Our sample was taken from a larger study of leadership teams of large publicly traded organizations and consisted of 48 TMTs. In line with previous research, the TMT was defined as the CEO and those senior executives who reported directly to him or her (Carpenter, Geletkanycz, & Sanders, 2004).

On average, there were 7.30 ($SD = 2.86$) members in each team. We examined teams between 1996 and 2002 to capture their management dynamics during both an economic upturn and downturn.

Following prior upper echelon researchers' suggestions to utilize qualitative approaches to understand the TMT (Hambrick, Geletkanycz, & Fredrickson, 1993; Michel & Hambrick, 1992; Pitcher, Chreim, & Kisfalvi, 2000), we utilized a q-sort methodology to better capture internal contextual factors within the TMT. This methodology has a qualitative component that requires large amounts of information on the management style of each assessed TMT, which affected our sample selection. We followed the sample selection procedures of prior work utilizing the qualitative methodology used in this study (e.g., Peterson et al., 1998; Wong, Ormiston, & Tetlock, 2011). Specifically, we utilized the following process to determine our sample: First, using the 2002 Fortune 500 list, we utilized the criterion that 10 or more analysts from investment banking firms had followed the organizations throughout 1996 to 2002 allowing us to gather firms that had a reasonable amount of publicly available coverage. Approximately 300 firms met this criterion. This list was further narrowed by research assistants, blind to the study hypotheses, who searched for articles of the firms' management styles in the business press and industry journals (e.g., *Business Week*, *Fortune*, as well as industry-specific trade journals). To ensure there was enough content on the management style of each TMT, research assistants sought organizations with at least 10 articles of approximately 1,000 words each pertaining to the TMT during the 1996 to 2002 time period. This process resulted in a list of 65 firms. In addition, the CEO of the organization had to remain in office until 2000 or later (e.g., the end of our time period, 2002) to best link characteristics of the TMT (e.g., their outside directorships) to firm financial outcomes. Finally, the organizations needed to have data on TMT members' external board ties and firm financial performance for our study time period.

These restrictions resulted in a final sample of 48 TMTs, a fairly common sample size for studies utilizing this methodology (e.g., Peterson et al., 1998; Peterson, Smith, Martorana, & Owens, 2003; Varella, Javidan, & Waldman, 2012). The firms represented a range of industries (e.g., chemical, retail, car manufacturing, software development) and had an average of US\$4.27 billion in sales and 140,487 full-time employees in 2002. The final sample of TMTs was primarily from Fortune 100 firms. Examples of organizations in our sample include General Electric Company, Hewlett-Packard Company, NIKE, Inc., and PepsiCo, Inc. A Kolmogorov-Smirnov two-sample test indicated that the excluded firms in the Fortune 100 were not statistically different from the sampled firms on total assets and sales, suggesting that our sample is representative of large firms.

Variables

Boundary spanning. To assess TMT boundary spanning, we adapted measures used in previous research on boundary spanning in the form of outside directorships (Geletkanycz & Hambrick, 1997; Higgins & Gulati, 2006; Yoo et al., 2009). First, we counted and summed the number of outside ties for each TMT member in each year and averaged them over the Group Dynamic Q-sort (GDQ) time period. This captures the extent to which the team is involved in boundary spanning and therefore the extent to which the team is exposed to varied sources of external information. However, to test Hypothesis 2, we also needed to capture the extent to which non-CEO TMT members versus the CEO held these outside directorships. Therefore, we divided the number of non-CEO TMT members' outside directorships by the total number of outside ties (which included both CEO and non-CEO TMT member ties) over the GDQ time period.¹ Directorships were collected from *Standard and Poor's Register of Corporations* and counted from 1996 to 2002.

Cohesion. Because top leaders do not readily submit to interviews or personal assessments, measuring cohesion, such as other internal factors, is difficult (Hambrick, 2007). Therefore, we utilized an at-a-distance measure of TMT cohesion drawn from q-sort methodology. The q-sort methodology requires that evaluators assess a person, group, or organization either through observation or by reading information about the target and then rank a set of statements or items in terms of how characteristic they are of the individual (i.e., California Adult Q-sort; Block, 1961), group (Group Dynamics Q-sort; Peterson et al., 1998), or organization (Organizational Culture Q-sort; O'Reilly, Chatman, & Caldwell, 1991). Q-sorts translate qualitative data into quantitative data and are thus descriptively rich and rigorous at the same time (Peterson, Owens, & Martorana, 1999). As publicly available data sources can be used to conduct a q-sort, this methodology allows examination of characteristics, processes, and structures that are otherwise difficult to examine (e.g., CEOs and TMTs; Peterson et al., 1999).

Given our focus on the TMT, we utilized the Group Dynamics Q-sort (GDQ) (Peterson et al., 1998), which is composed of 100 items that describe TMTs' group dynamics. First, we compiled detailed packets of qualitative information by searching the business press (e.g., *Business Week*, *Fortune*, and *Forbes*) and industry journals (e.g., *Chemical Week* and *Sales and Marketing Management*) for articles that discussed the TMT's management dynamics. A potential concern with these packets is that the journalists writing the articles may be biased. Indeed, although the media reflects actions taken by firms, it is also known to serve an evaluative function of TMTs that

judge and shape what is considered acceptable firm behavior (Bednar, 2012; Pollock & Rindova, 2003; Westphal, Park, McDonald, & Hayward, 2012). Therefore, journalists' biases may influence their descriptions of TMTs' management philosophies. Given that different media outlets have different biases (Grosseclose & Milyo, 2005), we mitigated this potential bias by obtaining multiple articles from various journalists as well as publication outlets across our time period. In line with previous research (Peterson et al., 2003), these packets were at least 20 pages but no more than 50 pages.

Next, research assistants were extensively trained on the q-sort methodology in a series of sessions. After familiarizing themselves with the meaning of the 100 items, they read a TMT's packet and then described the TMT according to each item. Each of the items consists of two polar opposite statements that are presented on 2×3 -in cards with one statement listed at the top of the card (i.e., upper statement) and one statement listed at the bottom of the card (i.e., lower statement). The items are focused on the team rather than individual members of the team, and thus coders' ratings are made at the team level. The cards are physically sorted by coders into one of nine categories that range from 1 (*upper statement is very characteristic of the group*) to 9 (*lower statement is very characteristic of the group*). The number of cards that can be sorted into each of the nine categories is restricted: Fewer cards can be placed in the high or low categories and more cards can be placed in the center categories, which results in a normal distribution. In particular, research assistants were told to place fewer cards in the extremes (i.e., only five GDQ items that describe the TMT can be rated a 1 and only five GDQ items can be rated 9) and more cards in the center categories (i.e., 18 GDQ items can be rated a 5). This forced distribution increases inter-rater reliability as well as the predictive power of the measure.

At least two research assistants independently reviewed a TMT's packet and then individually rated the team on the GDQ items. Following previous research using the q-sort methodology, we examined inter-rater agreement using Cronbach's coefficient alpha (e.g., Peterson, 1997; Wong et al., 2011). Average inter-rater reliability was .79 (range = .71-.89), so we averaged the assistants' scores to create one q-sort score per TMT.

We assess TMT cohesion through the established GDQ measure of cohesion (Peterson et al., 1998), which includes a series of 15 statement pairs that refer to the cohesion of the TMT. Two sample items are

Relations among group members are charged with hostility and/or rivalry.

vs.

Relations among group members are warm and friendly.

and

The group shows no team spirit and group solidarity.

vs.

The group shows strong team spirit.

The cohesion scale had adequate reliability ($\alpha = .70$) and ranged from 4.29 to 6.81 (average = 5.82, $SD = .53$). Higher scores indicated higher levels of cohesion within the group, whereas lower scores indicated lower levels of cohesion within the group. Excerpts from the GDQ packets, which illustrate low and high TMT cohesion in our sample, are presented in the appendix.

Firm financial performance. As recommended by Agle, Nagarajan, Sonnenfeld, and Srinivasan (2006), we use multiple accounting-based indicators of firm financial performance to examine the robustness of our hypothesized results across variations in these measures. We measure firm financial performance as Return on Assets (ROA), Return on Equity (ROE), and Return on Sales (ROS), all commonly used measures of firm financial performance (Sanders & Hambrick, 2007). Because the end of our independent variable data collection is 2002, we used financial data from 2003 to 2005 to cover the subsequent outcomes of their strategic decisions. We smoothed the data over 3 years to account for any irregularities that may have occurred in one particular year's performance (Agle, Mitchell, & Sonnenfeld, 1999; Carpenter, 2002). However, we conducted robustness checks using time lags ranging between 1 and 5 years for our dependent variables, which indicated the same statistically significant pattern of results.

Control variables. To examine an improvement in firm performance and to take into account the role of industry on firm performance (e.g., Agle et al., 2006), we followed procedures by Agle and colleagues (2006) to control for industry-adjusted firm financial performance over the 1996 to 2002 time period. Average industry firm financial performance was based on the firm's Standard Industrial Classification code, obtained from *Dun and Bradstreet's Industry Norms and Ratios*. Adjusting financial measures by the industry average is a common way to broadly account for various industry influences (Flickinger, Wrage, Tuschke, & Bresser, 2016; Nakauchi & Wiersema, 2015;

Rumelt, 1982; Zhu & Shen, 2016), particularly in the case of smaller samples (Wong et al., 2011) as it preserves the power of our analysis.

We also control for firm size, measured as the average number of employees (logged; 1996-2002). Prior performance and firm size data were obtained from Compustat. Finally, because our GDQ packets varied in the number of months for which they were adequately covered in the media, we control for the duration (in months, logged) of each firm's q-sort period.²

Results

Table 1 presents descriptive statistics and correlations among the study variables. Prior to analyzing our data, we checked for multicollinearity by testing the variance inflation factor (VIF) scores. The maximum value of the VIF scores was 1.82, which suggests that multicollinearity was not a problem (Neter, Wasserman, & Kutner, 1989). In addition, we tested for heteroskedasticity using the Breusch-Pagan test, which revealed that heteroskedasticity is not an issue and ordinary least squares regression is reasonable.

To test our hypotheses, we regressed firm financial performance on the control variables, number of outside directorships, proportion of outside directorships held by non-CEO TMT members, TMT cohesion, and their interaction terms (see Table 2). In terms of ROA, in Model 1, the base model, we regressed ROA on our controls as well as outside directorships, proportion of outside directorships held by non-CEO TMT members, and cohesion. The overall model yields an R^2 of .72 ($p = .000$; see Table 2). In Model 2, we examine the two-way interactions between outside directorships, proportion of outside directorships held by non-CEO TMT members, and cohesion, and ROA. All variables were centered before the interaction terms were calculated. This step explains 5.0% of the incremental variance in ROA with the overall model yielding an R^2 of .77 ($p = .102$). We find a significant two-way interaction between outside directorships and cohesion ($\beta = .234, p = .029$). Figure 1 depicts this interaction and reveals that boundary spanning was only beneficial for firm performance for TMTs with high cohesion. Specifically, simple slope analyses (Aiken & West, 1991) indicates that boundary spanning is positively related to performance among teams that are higher on cohesion ($b = 9.49, SE = 4.91, t = 1.93, p = .06$) but not for teams that have lower levels of cohesion ($b = -4.08, SE = 4.26, t = -.96, p = .34$) (see Figure 1). Thus, we found support for Hypothesis 1.

Finally, in Model 3, we test the three-way interaction. In support of Hypothesis 2, the three-way interaction between number of outside directorships, proportion of outside directorships held by non-CEO TMT members, and TMT cohesion is significant ($\beta = .246, p = .007$). This step explains

Table 1. Descriptive Statistics and Correlations Among Variables.

Variable	M	SD	1	2	3	4	5	6	7	8	9	10
1. Q-sort period duration	3.623	0.530										
2. Firm size (ln employees)	11.169	1.111	-.093									
3. Prior return on assets, industry adjusted	2.028	5.511	-.237	-.101								
4. Prior return on equity, industry adjusted	5.393	6.309	-.244	-.207	.669***							
5. Prior return on sales, industry adjusted	3.544	25.839	.050	.059	.118	.247						
6. Outside directorships	2.796	3.566	-.082	.028	-.090	.039	-.009					
7. Cohesion	5.758	0.576	.260	-.078	.025	.072	.016	.010				
8. Proportion non-CEO TMT members	0.599	0.395	-.070	.300*	-.093	.099	.041	.182	-.249			
9. ROA, industry adjusted (2003-2005)	2.535	6.049	-.206	.066	.828***	.324*	-.123	.019	-.043	-.06		
10. ROE, industry adjusted (2003-2005)	8.699	20.051	-.182	.002	.474***	.032	-.571***	.012	-.039	.019	.701***	
11. ROS, industry adjusted (2003-2005)	7.124	5.853	-.257	-.124	.677***	.889***	.161	.08	.004	.182	.523***	.196

Note. N = 48 teams; CEO = chief executive officer; TMT = top management team; ROA = return on assets; ROE = return on equity; ROS = return on sales.

* $p \leq .05$. *** $p < .001$.

Table 2. Regression Results for Firm Financial Performance.

Variable	Return on assets		Return on equity		Return on sales	
Control and independent variables:						
Prior industry-adjusted ROA	0.943*** (0.094)	0.988*** (0.093)	0.967*** (0.090)			
Prior industry-adjusted ROE				-0.439*** (0.098)	-0.441*** (0.101)	0.817*** (0.076)
Prior industry-adjusted ROS						0.832*** (0.073)
Firm size	0.908 (0.472)	1.069* (0.459)	1.105* (0.439)	0.217 (2.391)	0.303 (2.511)	0.158 (0.414)
Q-sort period duration	0.428 (1.015)	1.425 (1.060)	1.925 (1.042)	-5.922 (5.542)	-3.652 (5.801)	0.182 (0.935)
Outside directorships	0.183 (0.143)	0.262 (0.163)	0.442 (0.178)	-0.071 (0.723)	0.375 (1.023)	0.090 (0.154)
Cohesion	-0.834 (0.924)	-0.182 (0.930)	-0.082 (0.892)	0.699 (4.681)	1.021 (5.134)	-0.326 (0.799)
Proportion of outside directorships held by non-CEO TMT members	-1.034 (1.384)	-1.943 (1.624)	-2.394 (1.570)	1.777 (7.032)	-1.345 (9.041)	1.017 (1.388)
Two-way interactions:						
Outside Directorships × Cohesion		1.093* (0.481)	1.088* (0.461)	0.288 (2.583)	0.313 (2.605)	0.052 (0.410)
Outside Directorships × Proportion		-0.117 (0.649)	-0.523 (0.651)	-1.257 (3.549)	-1.921 (3.743)	-0.392 (0.559)
Non-CEO TMT Members		1.152 (2.408)	5.469 (3.085)	7.300 (13.140)	14.336 (17.630)	2.767 (2.630)
Cohesion × Proportion Non-CEO TMT Members						6.252* (2.064)
Three-way interaction						
Outside Directorships × Cohesion × Proportion Non-CEO TMT Members			3.087* (1.466)		3.087 (1.466)	2.541* (1.258)
Overall model R ²	.724	.765	.790	.352	.367	.803
Adjusted R ²	.684	.709	.734	.257	.196	.774
Change in R ²		.041	.025	.009	.006	.013
F statistic for change		2.202	4.438*	0.183	0.366	0.915
Overall F statistic	17.943***	13.748***	13.936***	3.709*	2.386*	27.829***
					2.148*	18.743***

Note. N = 48 teams. Unstandardized coefficients shown; standard errors in parentheses. ROA = return on assets; ROE = return on equity; ROS = return on sales; CEO = chief executive officer; TMT = top management team.

* $p \leq .05$. ** $p < .01$. *** $p < .001$.

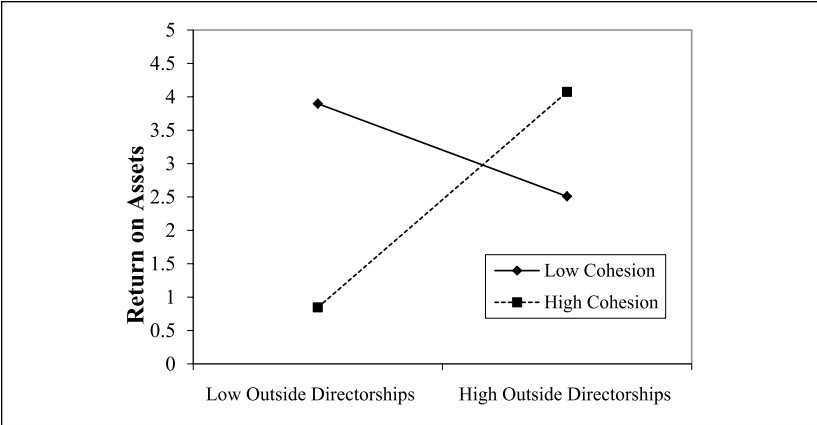


Figure 1. Two-way interaction of number of outside directorships and top management team cohesion on return on assets.

2.5% of the incremental variance in performance and yields an R^2 of .79 ($p = .042$). Simple slope analyses using the spreadsheet based on the work by Dawson and Richter (2006) revealed that, as TMTs increased their levels of boundary spanning via outside directorships, having a greater proportion of outside directorships held by non-CEO TMT members was beneficial to ROA for TMTs with high cohesion but not for TMTs with low cohesion (difference between slopes: $t = 2.721, p = .010$; see Figure 2). Practically, when TMTs have a high number of outside directorships, almost all outside directorships are held by non-CEO TMT members (a one standard deviation increase in the proportion variable = .994), and TMTs are high in cohesion, their firms have an ROA that is 19% higher than firms in which TMTs have a high number of outside directorships, and in which almost all outside directorships are held by non-CEO TMT members but the TMT is low in cohesion. Moreover, levels of cohesion did not change the nature of the relationship between outside directorships for the CEO (i.e., a low proportion of outside ties held by non-CEO TMT members) and ROA (difference between slopes: $t = -1.300, p = .202$), and no other differences between slopes emerged.

For ROE, in Model 1, the base model, we regressed ROE on our controls as well as outside directorships, proportion of outside directorships held by non-CEO TMT members, and cohesion. The overall model yields an R^2 of .35 ($p = .005$; see Table 2). In Model 2, we examine the two-way interactions between outside directorships, proportion of outside directorships held by non-CEO TMT members, and cohesion, and ROE. This step explains 0.9% of

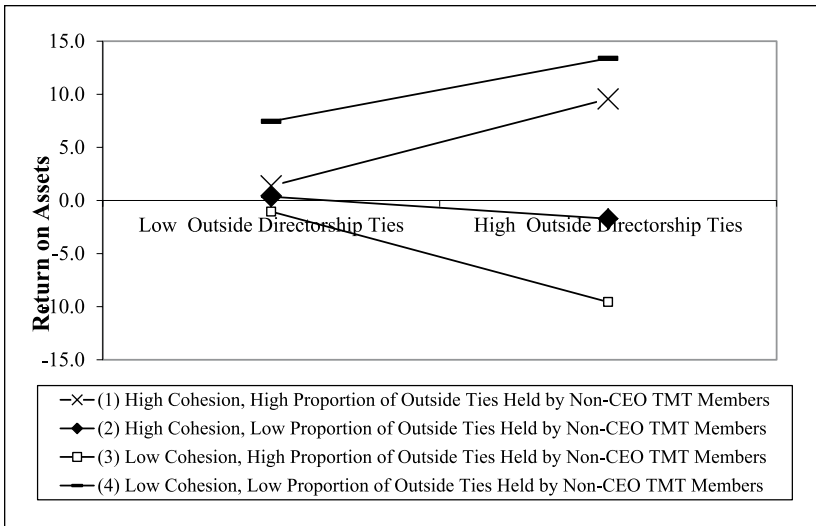


Figure 2. Three-way interaction of number of outside directorships, proportion of outside directorships held by non-CEO TMT members, and TMT cohesion on return on assets.

Note. CEO = chief executive officer; TMT = top management team.

the incremental variance in performance with the overall model yielding an R^2 of .36 ($p = .907$). No significant two-way interactions emerged. In Model 3, we find that the three-way interaction between number of outside directorships, proportion of outside directorships held by non-CEO TMT members, and TMT cohesion is positive as in our analysis with ROA, but not significant ($\beta = .122, p = .549$). Thus, our hypotheses were not supported with ROE.

In terms of ROS, in Model 1, the base model, we regressed ROS on our controls as well as outside directorships, proportion of outside directorships held by non-CEO TMT members, and cohesion. The overall model yields an R^2 of .80 ($p = .000$; see Table 2). In Model 2, we examine the two-way interactions between outside directorships, proportion of outside directorships held by non-CEO TMT members, and cohesion, and ROS. This step explains 2.0% of the incremental variance in ROS with the overall model yielding an R^2 of .82 ($p = .443$). No significant two-way interactions emerged, and thus we did not find support for Hypothesis 1 in terms of ROS. However, in support of Hypothesis 2, in Model 3, we find that the three-way interaction between number of outside directorships, proportion of outside directorships held by non-CEO TMT members, and TMT cohesion is again significant

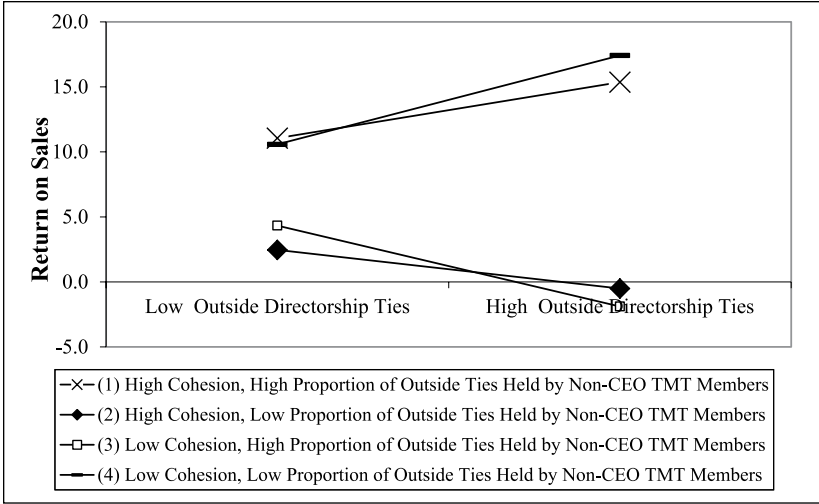


Figure 3. Three-way interaction of number of outside directorships, proportion of outside directorships held by non-CEO TMT members, and TMT cohesion on return on sales.

Note. CEO = chief executive officer; TMT = top management team.

($\beta = .209, p = .051$). This step explains 1% of the incremental variance in performance and yields an R^2 of .834 ($p = .051$). Like our findings with ROA, simple slope analyses revealed that, as TMTs increased their levels of boundary spanning via outside directorships, having a greater proportion of outside directorships held by non-CEO TMT members was beneficial for ROS when TMTs had high cohesion but not when they had low cohesion (difference between slopes: $t = 1.962, p = .057$; see Figure 3). Practically speaking, when TMTs have a high number of outside directorships, almost all outside directorships are held by non-CEO TMT members (a one standard deviation increase in the proportion variable = .994), and TMTs are high in cohesion, their firms have an ROS that is 17% higher than firms in which TMTs have a high number of outside directorships, and almost all outside directorships are held by non-CEO TMT members, but the TMT is low in cohesion.

Unlike our findings with ROA, levels of cohesion tend to change the nature of the relationship between outside directorships for the CEO (i.e., a low proportion of outside ties held by non-CEO TMT members) and ROS, such that when CEOs had more directorships relative to non-CEO TMT members, there were greater benefits to ROS when the teams had low

cohesion versus high cohesion (difference between slopes: $t = -1.878$, $p = .068$). Practically, when TMTs had high levels of outside directorships but the majority of these were held by the CEO (a one standard deviation decrease in the non-CEO TMT member proportion variable = .204) and the TMT had low cohesion, firms had an ROS that was 18% higher than when TMTs had high levels of outside directorships that were primarily held by the CEO but where the TMT had high cohesion. In addition, we find that for teams with low cohesion, a lower proportion of outside directorships held by non-CEO TMT members was more beneficial for ROS than was a higher proportion of outside directorships held by non-CEO TMT members (difference between slopes: $t = -2.149$, $p = .038$). Practically, when TMTs had low cohesion but high numbers of outside directorships that were primarily held by the CEO, ROS was 19% higher than when the TMT had low cohesion and a high number of outside directorships but where these directorships were almost all held by non-CEO TMT members. No other significant differences between simple slopes emerged.

Discussion

For Dan Akerson, allowing his top team to span organizational boundaries by serving on outside boards was critical to soliciting new ideas that would enable the team to foster a more innovative and high-performing culture at General Motors (Colias, 2014; James, 2013). TMT boundary spanning via outside directorships indeed holds the promise of heightened innovation and improved firm performance (Ancona, 1990; Beckman & Haunschild, 2002; Geletkanycz & Hambrick, 1997), yet also presents risks to the firm in the form of managerial opportunism (Conyon & Read, 2006; Jackson, 2013; Zajac & Westphal, 1996). Given the prevalence and prominence of these external social network ties (Boivie et al., 2016; Boyd et al., 2011; Haunschild, 1993; Useem, 1982, 1984), understanding the conditions under which outside directorships benefit firm performance is important.

In this article, we suggested reconciling the competing perspectives on outside directorships put forth by the social network view and the agency view (Boyd et al., 2011; Geletkanycz & Boyd, 2011) by looking beyond contingency factors that are external to the team to instead take into account a key internal factor—TMT cohesion. We argued that TMT cohesion would not only be critical in addressing problems of self-interest associated with outside directorships put forth by the agency view as cohesion binds team members together and enhances commitment to the team (Festinger, Back, & Schachter, 1950; Seashore, 1954), but also beneficial for facilitating information sharing

between members (Gruenfeld et al., 1996; Jehn & Shah, 1997). Moreover, we argued that this relationship would be particularly important for non-CEO TMT members because outside directorships provide them with a range of increased benefits in the executive labor market (Boivie et al., 2016) and because, by virtue of their roles, their interests are relatively less aligned with the focal firm than are the CEO's interests (Lange et al., 2015).

Results of our archival study of TMTs show that, in line with our hypotheses, cohesion facilitates the management of outside directorships. First, in terms of ROA, outside directorships enhanced firm performance when the TMT had high but not low cohesion, revealing that internal dynamics of the team are an important factor when considering the value of developing these boundary spanning relationships. Yet this positive relationship between outside directorships and firm financial performance is further contingent upon the structural position of those holding the outside directorships, such that the benefits of cohesion are especially accrued when the outside directorships are primarily held by non-CEO TMT members. Specifically, a higher proportion of outside directorships held by non-CEO TMT members increased firm financial performance when TMTs had high cohesion but not when TMTs had low cohesion. Indeed, when TMTs had low cohesion, firms were better off financially, in terms of ROA and ROS, when the CEO held a greater proportion of outside directorships relative to non-CEO TMT members. These results are consistent with the argument that having high TMT cohesion is particularly important and relevant for non-CEO TMT members when they span the boundaries of their firms, but less relevant when the CEO spans boundaries. Ultimately, while upholding the view that the external activities of TMTs are critical for performance (Ancona, 1990; Geletkanycz & Hambrick, 1997), our findings show that these activities cannot be considered in isolation of the internal functioning of the team (Choi, 2002; Marrone, 2010; Smith et al., 1994) or without respect to the unique structural positions held by different TMT members (Jensen & Zajac, 2004).

Theoretical Contributions

This study has several theoretical contributions for research on TMT boundary spanning, strategic leadership, and team cohesion. Prior research on TMT boundary spanning in the form of outside directorships is equivocal—sometimes showing positive, null, or negative effects (Geletkanycz & Boyd, 2011; Geletkanycz & Hambrick, 1997; Yoo et al., 2009). Although some studies have begun to consider contextual factors that render external information more valuable for strategic decision-making (e.g., Geletkanycz & Boyd, 2011; Yoo et al., 2009), little work has been done to consider the *internal*

interactions that may address the managerial opportunism that can occur with these outside directorships. Intragroup factors are integral when considering individuals' commitment and attachment to one another and their organizations (Buchanan, 1974; Riketta & Van Dick, 2005), and thus examining TMT cohesion as a contingency factor in the TMT boundary spanning–firm performance relationship is relevant to this debate. Indeed, we find that it addresses the puzzle of when outside directorships benefit firm performance, allowing firms to gain the external informational benefits put forth by the social networks' view without the challenges of managerial self-interest put forth by the agency view.

This study also contributes to strategic leadership research by helping to open the “black box” of TMTs by examining how emergent states of the team (i.e., cohesion) influence firm-level outcomes (Carpenter et al., 2004; Hambrick, 2007; Lawrence, 1997). Whereas some upper echelons studies have revealed a positive direct effect of cohesion on firm performance (e.g., Ensley et al., 2002; Smith et al., 1994), our study examines cohesion in light of TMT boundary spanning to explain when TMTs might utilize their external relationships for the benefit of their firms instead of furthering their personal interests at the expense of the firm. Typically, an examination of these intragroup processes within TMTs of large corporations is difficult (Hambrick, 2007); however, the use of a q-sort methodology enabled us to assess the cohesion of TMTs in novel ways.

Another contribution to strategic leadership research is disaggregating TMT outside directorships by structural position within the TMT. Prior research has found that considering TMT member roles separately reveals important effects on strategic decisions such as diversification, whereas aggregating TMT roles masks these unique effects (Jensen & Zajac, 2004). Indeed, a current controversy in upper echelons research is the extent to which TMT members are interchangeable and thus aggregation is justified (Boyd et al., 2011; Carpenter et al., 2004). Our research adds to this debate by revealing that *who* holds outside directorships is important when considering TMT boundary spanning, which is relevant as directorships are held by CEOs, non-CEO TMT members, and even other types of executives (such as retired CEOs or academics) (Boivie et al., 2016; Boyd et al., 2011; Geletkanycz & Boyd, 2011). Thus, while upper echelons research has advanced strategic leadership literature by advocating for the inclusion of the “team” of top managers (Finkelstein et al., 2009; Hambrick & Mason, 1984), our study echoes calls to include and yet differentiate the effects of individual TMT members (Jensen & Zajac, 2004).

Finally, our study contributes to cohesion and team research. The performance benefits of cohesion are touted among team researchers as well as upper echelons scholars (Beal et al., 2003; Ensley et al., 2002; Smith et al.,

1994). Our research affirms the utility of developing relationships in the form of cohesion to best achieve the firm performance goals of gathering external information through boundary spanning. However, it also affirms research that cautions against cohesion under certain conditions, for example, when cohesion is less necessary for TMTs such as when they are low in interdependence (Barrick, Bradley, Kristof-Brown, & Colbert, 2007). In our study, cohesion is less necessary when proportionally more outside directorships are held by the CEO (vs. non-CEO TMT members). CEOs' interests are likely more aligned with those of the focal firm than are those of other members of the organization by virtue of their accountability for firm outcomes and identification with the firm (Finkelstein & Hambrick, 1996; Lange et al., 2015). Thus, cohesion is particularly important when there are potential challenges to TMT members' commitment to the firm, but less so when they do not face such challenges (i.e., they have no outside directorship ties) or when commitment is already high via other mechanisms.

Practical Implications

This research provides practical implications for TMTs. First, although information gathered from those outside the organization will be stimulating and novel for team members who span boundaries (Li et al., 2013), there are a myriad of other benefits to outside directorships, including increased credibility and the potential for succession to the CEO role (Boivie et al., 2016). The latter benefits may set up situations of conflict between top managers and the CEO and/or with one another (Ocasio, 1994). Thus, CEOs should be particularly careful to strengthen team cohesion so that firms can ultimately realize the informational benefits of outside directorships, particularly when they are held by non-CEO TMT members. Cohesion increases attachment and commitment among team members and thus may be key to reducing the likelihood that outside directorships will be used self-interestedly instead of for the benefit of the firm. Although cohesion can be a symptom of groupthink (Janis, 1982), for boundary spanning top managers, in which teams are often fragmented as members interact with different external stakeholders (Hambrick, 1995), cohesion becomes that much more important for the solidarity of their team and in considering the firm's interests. These findings suggest that TMT members should carefully balance both external relationships and the development of cohesion, not focusing on one at the expense of the other (Choi, 2002).

Research Implications

Beyond these theoretical and practical contributions, there are several nuances of this work that could be taken up in future research. In this study,

we focused on one type and operationalization of boundary spanning—TMT member outside directorships—because this is one of the most critical forms of boundary spanning in which top executives engage (Ancona, 1990; Geletkanycz et al., 2001) and because prior research has found equivocal effects of these social network ties on firm outcomes (Geletkanycz & Boyd, 2011; Geletkanycz & Hambrick, 1997; Yoo et al., 2009). Our results speak to this particular external relationship (i.e., number of “sent” ties or “sent interlocks”), but future research might also consider additional nuances of this kind of TMT boundary spanning, including the range or diversity of these social network ties. For example, increased diversity of outside directorship ties might indicate that TMT members have access to more unique information that could benefit the focal firm, but having such ties might also act as a signal that TMT members are cultivating future opportunities by diversifying their social contacts (Jackson, 2013). Beyond outside directorships, TMT members can obtain external information from other sources, such as through informal friendship ties outside the firm (Westphal, Boivie, & Ming Chng, 2006) or through instrumental ties to outsiders such as customers, alliance partners (Collins & Clark, 2003), and even security analysts (Westphal & Clement, 2008).

In addition, although it is important to disaggregate “sent” ties from “received” ties as we have done here (Geletkanycz & Boyd, 2011; Richardson, 1987), many studies combine these ties when considering the board interlocks that connect firms (e.g., Beckman & Haunschild, 2002; Sullivan, Haunschild, & Page, 2007). From a social network perspective, both types of ties provide the focal firm with valuable information, thus combining ties yields a more comprehensive picture of the pool of available external information. Yet, from an agency perspective, these ties should differ, with more “received ties” curbing opportunism via increased oversight of firm managers (Boyd, 1994; Buchholtz et al., 1998; Conyon & Peck, 1998; Westphal, 1998) and more “sent ties” increasing opportunism, for example, by opening up additional employment opportunities (Boivie et al., 2016; Jackson, 2013). Therefore, we expect that TMT cohesion will still be critical to firm performance when TMT members hold outside directorships, even if there are outsiders on the board of the focal firm, but future research could combine these social network ties to examine this question empirically. Following other work on outside directorships (Geletkanycz & Hambrick, 1997; Yoo et al., 2009), future research should also consider additional information about these ties (e.g., industry and recency) and their relevance to TMT cohesion and firm financial performance. In short, examining TMT boundary spanning as the number of outside directorships held by top managers provides a basic test of our predictions, but further nuances may be found in the trade-offs

between informational benefits and risks of self-interest by considering additional aspects of these boundary spanning relationships.

Finally, we utilized a unique measure of cohesion to assess the level of the TMT's attraction and mutual support (Peterson et al., 1998). However, future research could consider a more configurational approach to team cohesion, for example, taking into account possible subgroup configurations or ingroup/outgroup effects. Indeed, research on subgroup formation indicates that TMTs can be composed of multiple subgroups (Carton & Cummings, 2012; Lau & Murnighan, 2005; Ormiston & Wong, 2012), and these subgroups may have high levels of cohesion within their respective subgroups but low levels of cohesion between subgroups. Other TMTs may have little subgroup formation but have only a moderate level of cohesion within the group. Both types of TMTs may result in similar mean levels of cohesion within the TMT though, in fact, TMT members experience cohesion very differently. Alternatively, TMT members may perceive cohesion within the TMT differently from one another, and thus examining individual members' perceptions of cohesion may result in different effects than examining the overall level of cohesion within the team. A configurational approach to team cohesion would provide a more nuanced view of these varying experiences of cohesion.

Limitations

The theoretical and practical contributions of our study should be considered with regard to its limitations. First, we argued that TMT cohesion reduces managerial opportunism associated with outside directorships and enhances information sharing among top managers who hold outside directorships. Although our overall results are consistent with this account, we were unable to measure specific top manager behaviors (e.g., information exchange and interest in or pursuit of alternative employment). Prior studies have already established the effects of cohesion on commitment to group goals (Berkowitz, 1954; Klein & Mulvey, 1995), the tendency to stay in exchange relationships despite attractive alternatives (Lawler & Yoon, 1996), and open discussion, information sharing, and debate in strategic decision-making (Amason, 1996; El Akremi et al., 2011; Ensley et al., 2002). However, because we did not account for these mechanisms in the current study, it is possible that our results may be due to other factors that were not hypothesized or measured here.

Relatedly, although previous research suggests the potential for managerial opportunism to be greater for non-CEO TMT members than for CEOs (e.g., Boivie et al., 2016; Lange et al., 2015), such opportunism may not

apply to some individual CEOs or non-CEO top managers. For example, some non-CEO TMT members may have no interest in taking on a CEO role, either internally or externally. Conversely, some CEOs may indeed engage in opportunism if they are interested in moving to larger or more prestigious organizations. Such moves may not be as likely among CEOs as for non-CEO TMT members because CEOs have already reached a pinnacle of power and influence in their own firms and because hiring a CEO from a less-prestigious firm is risky for hiring organizations (Finkelstein et al., 2009); however, they are possible (Allgood & Farrell, 2000; Finkelstein et al., 2009). In short, our results do suggest differences between non-CEO TMT members and CEOs in terms of the effects of their respective outside directorships and cohesion on firm performance. Future research should aim to explore these executives' motivations in pursuing, or not pursuing, alternate positions to gain a better understanding of why they develop outside directorships and their ensuing impact on firm outcomes.

Next, the comprehensiveness of q-sort analysis resulted in a relatively small final sample and thus limited the number of control variables we could include in our models. We employed several techniques to test the robustness of our results, such as using several measures of firm financial performance and adjusting each of these based on industry (Agle et al., 2006). Yet future research could examine these effects using more firm-level controls, perhaps by using a more distal yet more readily available measure of cohesion to gain statistical power. Relatedly, our sample of firms spans 1996 to 2002 due to the extensive media coverage and time necessary to conduct the group dynamics q-sort measures. Although we captured economic upturns and downturns in this period, and do not anticipate the relationships between outside directorships, TMT cohesion, and performance to have systematically changed as a function of more recent contextual and economic conditions, replication using accounts of more recent top management groups could provide further confidence in our results.

Finally, we took steps to examine our predictions using variables measured at different time periods. However, we cannot entirely rule out alternative explanations that firm performance or other factors in the external environment influence opportunities for TMT member boundary spanning or even a TMT's level of cohesion (Mathieu, Kukenberger, D'Innocenzo, & Reilly, 2015; Mullen & Copper, 1994; Yamak, Nielsen, & Escribá-Estevé, 2013). Notwithstanding these limitations, our study offers a more complete picture of the value of TMT outside directorships for focal firms by taking into account a measure of internal relationships among top managers and their structural positions, revealing that both conditions are integral to understanding the utility of these TMT boundary spanning ties.

Conclusion

Despite the potential benefits of TMT boundary spanning in the form of outside directorships, past studies have shown that the relationship between outside directorships and firm performance is complex. Our research addresses this complexity by showing that the utility of TMT boundary spanning depends on TMT cohesion and structural position within the TMT. Firms benefit from TMT outside directorships when these directorships are held by proportionally more non-CEO TMT members than the CEO and the TMT is cohesive. However, when TMTs had low cohesion, firms were better off financially when the CEO held a greater proportion of outside directorships relative to non-CEO TMT members. These findings illustrate the importance of a contingency perspective that considers the effects of multiple aspects of the TMT, both external and internal, on firm performance.

Appendix

Sample Text From Group Dynamics Q-sort Measure of Cohesion

High cohesion (Southwest Airlines, cohesion score of 6.81).

Southwest Airlines was rated as having a more cohesive TMT than most teams in our sample. A few examples from Southwest's GDQ packet include "Southwest employees on all levels think of the company as a family (Labich, 1994). They feel personally involved, responsible, and motivated." (Source: Bunz and Maes (1998)). In reference to members of Southwest's TMT, "The fact that they are working as a team should be underscored," says one relieved institutional investor (Source: Zellner (2001)). "Southwest emphasizes teamwork among its employees. Employees are encouraged to be responsive to fellow employee needs first and then to customer needs. This spirit of assistance involves everyone in the organization including managers, pilots, and the CEO- all of whom are expected to pitch in when employees are overloaded" (Source: Czaplewski, Ferguson, and Milliman (2001)). Southwest Airlines: How internal marketing pilots success. *Management Marketing*.

Low cohesion (Ford Motors, cohesion score of 4.76)

Ford was rated as having a less cohesive TMT than most teams in our sample. A few examples from Ford's packet include the following: Ford's general marketing manager for Ford during Nasser's tenure notes, "You don't need an army. You need a small group of really passionate, dedicated people who are aligned with our vision. We don't need to replace the top 2,000

people in the company.” Those who are not motivated or incapable of keeping step with Mr. Nasser’s bold new strategy to reshape Ford have been given the tap on the shoulder to leave. While these changes have hurt morale, there is a sizable group that believes these “outsiders” will bring some new and unusual thinking into Ford—ultimately making the company stronger—because they aren’t ingrained in the “Ford attitude.” Source: Deep (1999). Ford shuffles the deck too: Nasser puts his stamp on the upper echelon. *Ward Auto*. Retrieved from <http://www.wardsauto.com/news-analysis/ford-shuffles-deck-toonasser-puts-his-stamp-upper-echelon>. “Behind the scenes the company has been hurt by a fight between Chairman Bill Ford Jr. and President and CEO Jacques Nasser. The two men appear to have separate agendas, and down in the ranks, employees question who is in charge.” “On the company’s website, Bill Ford is described as ‘leading the company’ and having a vision ‘to transform automobiles and industry to benefit customers, shareholders, and society.’ That establishes Bill Ford as a separate power center and creates an agenda that seems to conflict with Nasser’s mandate to improve shareholder values. Observers say the outside members of the board of directors seem split between their loyalty to the family and their obligation to support the CEO” (Source: Taylor (2001)).

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Notes

1. As a robustness check, we also examined counts of non-CEO TMT member outside directorships and CEO outside directorships in a split sample analysis, where the interaction between the count variable(s) and the TMT cohesion

variable was examined for non-CEO TMT members and for the CEO separately. These analyses yielded the same results as those reported using the proportion variable in the three-way interaction analyses.

2. We conducted a number of robustness checks to ensure that our results held controlling for other factors that can influence firm performance. In particular, we conducted analyses controlling for TMT interdependence, resource dependence, and tenure. Our results indicate our findings remain the same with these additional control variables included in the model.

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